

Amazon & Toys “R” Us

The Strategic Alliance That Ended a Retail Giant

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Algorithm Basics and BW

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The Strategic Alliance That Ended a Retail Giant

How a 10-year partnership destroyed the world's largest toy retailer

Learning Objectives

1.  How strategic partnerships can mask competitive threats
2.  The critical importance of controlling your digital presence
3.  How platform businesses extract value from partners
4.  The ethics of leveraging partnerships for market dominance
5.  Warning signs of dangerous business relationships

Key Question: Was Amazon's strategy brilliant or predatory?

Background: Toys “R” Us at Its Peak

Company History:

- ▶  Founded 1948 by Charles Lazarus
- ▶  Pioneered supermarket-style toy stores
- ▶  Global presence: 800+ stores
- ▶  World's leading toy retailer
- ▶  Peak revenue: \$11.5B annually

Competitive position:

- ▶ Largest toy selection
- ▶ “Category killer” business model
- ▶ Strong brand recognition

Background: Toys “R” Us at Its Peak

1999: Digital disaster:

- ▶  Launched ToysRUs.com
- ▶  Holiday orders overwhelmed system
- ▶  Failed to ship Christmas gifts
- ▶  \$ \$350,000 FTC fine
- ▶  Customer trust damaged

The problem:

- ▶ E-commerce expertise lacking
- ▶ Infrastructure inadequate
- ▶ Needed technology partner

Background: Amazon in 2000

Amazon's position:

- ▶ 📖 Started as online bookstore (1994)
- ▶ 🚀 Growing rapidly but unprofitable
- ▶ 📈 Expanding into new categories
- ▶ ❓ Lacked toy retail expertise
- ▶ 🎯 Wanted to dominate toys category

Strategic needs:

- ▶ Toy selection and inventory
- ▶ Brand credibility in toys
- ▶ Customer trust

Background: Amazon in 2000

Perfect match?

- ▶  Toys “R” Us: Toy expertise
- ▶  Amazon: Technology platform
- ▶  Complementary capabilities
- ▶  Win-win opportunity?

Hidden agenda:

- ▶  Learn toy retail business
- ▶  Collect customer data
- ▶  Condition consumers to buy toys online
- ▶  Eliminate competition long-term

Key insight: Amazon doesn't want to compete in a market—it wants to own it

The 2000 Partnership Agreement: Deal terms

- ▶ 📅 10-year exclusive partnership
- ▶ 💰 \$50M annual payment to Amazon
- ▶ + Plus percentage of sales
- ▶ 🛒 Co-branded Amazon/TRU toy section
- ▶ ➡ ToysRUs.com redirects to Amazon
- ▶ 🛒 TRU provides inventory
- ▶ 🚚 Amazon handles fulfillment

Exclusivity clause:

- ▶ TRU = exclusive toy seller on Amazon
- ▶ No other toy retailers allowed



2002: The Partnership Succeeds: Initial results exceeded expectations

For Toys “R” Us:

- ▶  Online sales growing
- ▶  No technology burden
- ▶  Customer satisfaction high
- ▶  Revenue targets met
- ▶  Top toy site for kids

For Amazon:

- ▶  Toy sales booming
- ▶  Collecting customer data
- ▶  Learning toy retail
- ▶  Understanding demand patterns
- ▶  Building market position

2002: The Partnership Succeeds: Initial results exceeded expectations

But underneath:

- ▶  TRU has NO independent online presence
- ▶  Amazon controls all customer data
- ▶  TRU falling behind in e-commerce innovation
- ▶  Amazon learning everything about toy business

2003: Amazon Changes Strategy

Internal Amazon memo (**Jorrit Van de Meulen**):

"Amazon has effectively ceded control of the toy and baby stores to [Toys R Us]. This is not always a good thing."

Amazon's actions:

- ▶  Allows other toy sellers
- ▶  Opens marketplace to competitors
- ▶  Demands greater variety from TRU
- ▶  Expands toy categories
- ▶  Search ads for competing toys

TRU's response:

- ▶  Discovers 1000+ exclusive products sold by others
- ▶  Protests contract violation
- ▶  Meeting with Jeff Bezos
- ▶  No resolution
- ▶  Prepares lawsuit

The trap springs: Amazon used TRU to build the market, now cuts them out

IS/IT Systems Integration: Technology infrastructure

Amazon provided:

- ▶  E-commerce platform
- ▶  Inventory management system
- ▶  Shopping cart technology
- ▶  Payment processing
- ▶  Search and recommendation engine
- ▶  Order fulfillment system

TRU provided:

- ▶  Product inventory
- ▶  Pricing data
- ▶  Product descriptions
- ▶  Product images
- ▶  Some fulfillment support

IS/IT Systems Integration: Technology infrastructure

Critical IT control issues:

- ▶  TRU had NO access to customer data
- ▶  TRU couldn't see shopping behavior analytics
- ▶  All technology owned by Amazon
- ▶  ToysRUs.com just redirected—no independent site

Data Collection & Customer Insights

What Amazon learned:

- ▶ 👤 Customer demographics
- ▶ 📅 Seasonal buying patterns
- ▶ 💰 Price sensitivity
- ▶ 📁 Gift purchasing behavior
- ▶ 🔍 Product search patterns
- ▶ 🖱️ Browsing to purchase rates
- ▶ ➡️ Cross-sell opportunities

What TRU missed:

- ▶ 📈 Digital trend analysis
- ▶ 💡 Innovation opportunities
- ▶ 👤 Customer lifetime value
- ▶ ✉️ Email marketing lists
- ▶ ↻️ Remarketing capabilities
- ▶ 🗄️ No proprietary data asset

Data Collection & Customer Insights

Strategic impact:

- ▶  Amazon built competitive intelligence while TRU learned nothing
- ▶  Amazon could optimize independently
- ▶  TRU became dependent on Amazon's insights

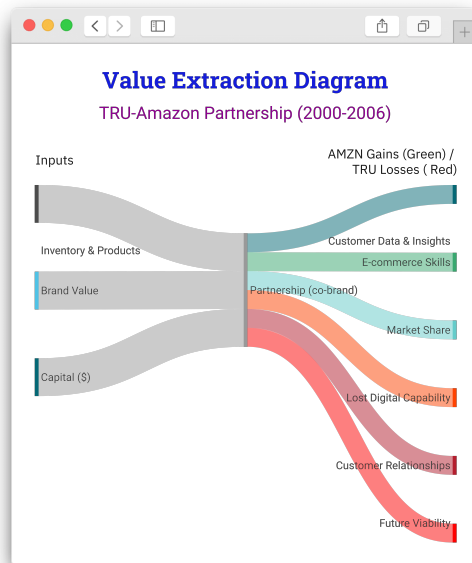
The Lawsuit: 2004

TRU's legal case:

- ▶ 📄 Amazon violated exclusivity
- ▶ 🛒 Allowed competitor toy sellers
- ▶ 💰 Lost revenue to competitors
- ▶ 👥 Brand dilution
- ▶ ❌ Breach of contract

Court ruling (2006):

- ▶ ✅ TRU wins lawsuit
- ▶ 💰 Awarded \$51M + interest
- ▶ ❌ Contract terminated
- ▶ 💻 Can rebuild independent site



Business Value: Amazon's Gains (How Amazon won)

Short-term (2000-2006):

- ▶ 💰 \$50M/year guaranteed revenue
- ▶ 👤 TRU brand legitimization
- ▶ 🗄 6 years of customer data
- ▶ 🎓 Learned toy retail
- ▶ 📈 Established market presence

Long-term (2007-2018):

- ▶ 🏆 Dominated toy market
- ▶ 💰 \$4.5B toy sales (2017)
- ▶ 🏪 No credible competitor
- ▶ 👤 Conditioned consumers
- ▶ ✅ Eliminated TRU threat

Strategic victory:

- ▶ ♟ Used TRU to build market while preventing TRU from competing
- ▶ ⌚ \$51M settlement was trivial compared to market dominance gained
- ▶ 🦾 By 2018, Amazon = toys = Amazon

Business Value: TRU's Losses

Immediate damage (2000-2006):

- ▶ ❌ No e-commerce development
- ▶ 🗄️ No customer data
- ▶ 💡 6 years behind in innovation
- ▶ 👥 Lost digital generation
- ▶ 💰 \$50M/year paid to competitor

WhartonSchool analysis:

"10 years of innovation to catch up"

Fatal consequences (2006-2018):

- ▶ 💻 E-commerce site had technical errors
- ▶ 📈 Couldn't compete on price
- ▶ 🏪 Physical stores declining
- ▶ 💰 \$250M profit shortfall (2017)
- ▶ 📄 Bankruptcy (2017)
- ▶ ❌ Liquidation (2018)

Business Value: TRU's Losses

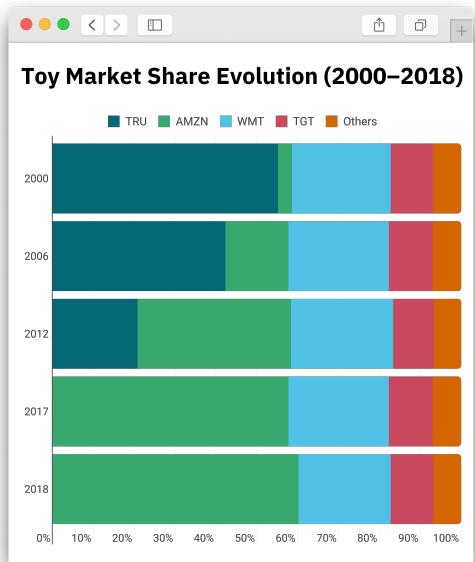
Total destruction:

- ▶ From \$11.5B revenue → \$0
- ▶ 800 stores → 0 stores
- ▶ 64,000 employees → unemployed

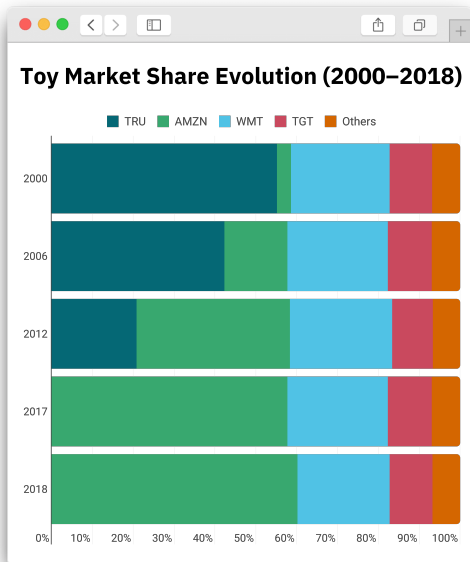
Market Share Evolution

Toy market dynamics:

- ▶ 📈 2000: TRU dominated
- ▶ ➡ 2006: Competition growing
- ▶ ⚠ 2012: Amazon surpassing TRU
- ▶ 🏆 2017: Amazon #1 (4.5B)
- ▶ 🗑 2018: TRU gone



Market Share Evolution



Other factors:

- ▶ Walmart aggressive pricing
- ▶ Target one-stop shopping
- ▶ \$7.5B leveraged buyout (2005)
- ▶ Debt payments crushing
- ▶ Failed to innovate stores

Lesson 1: Control Your Digital Destiny

Never outsource your core customer relationship:

What TRU lost:

- ▶  Direct customer relationships
- ▶  Customer data ownership
- ▶  E-commerce capabilities
- ▶  Innovation opportunity
- ▶  Strategic flexibility

The mistake:

- ▶ Treated e-commerce as “technology problem”
- ▶ Should have treated as “strategic asset”

Lesson 1: Control Your Digital Destiny

Never outsource your core customer relationship:

What should TRU have done:

- ▶  Build own e-commerce platform
- ▶  Partner for technology support only
- ▶  Retain customer data
- ▶  Maintain ToysRUs.com brand
- ▶  Invest in digital capabilities

Modern example:

- ▶ Nike selling directly vs through Amazon
- ▶ Control = competitive advantage

Lesson 2: Platform Power Dynamics

Platform owners control the relationship:

Amazon's advantages:

- ▶  Owns infrastructure
- ▶  Sees all customer data
- ▶  Controls analytics
- ▶  Can add competitors anytime
- ▶  Makes the rules

Partner vulnerabilities:

- ▶ Dependent on platform
- ▶ No alternative if relationship fails
- ▶ Platform learns their business

Lesson 2: Platform Power Dynamics

Platform owners control the relationship:

Pattern repeats:

- ▶ 📖 Borders (books) - died 2011
- ▶ 🎯 Target (general retail) - partnership ended
- ▶ 🛒 Many merchants on Amazon marketplace

The dilemma:

- ▶ ✔️ Platform access = customers
- ▶ ❌ Platform dependence = vulnerability
- ▶ ? How to balance?

Key insight:

Platform businesses that partner with you today will compete with you tomorrow

Lesson 3: Data is Strategic Power

Customer data = competitive moat:

What data enables:

- ▶ 🎯 Better targeting
- ▶ 💰 Dynamic pricing
- ▶ 📁 Personalized recommendations
- ▶ 📈 Demand forecasting
- ▶ 💡 Product innovation
- ▶ ✉ Direct marketing

TRU's data blindness:

- ▶ ❌ Couldn't see online behavior
- ▶ ❌ No email marketing capability
- ▶ ❌ Missed trend detection
- ▶ ❌ Couldn't optimize pricing
- ▶ ❌ No personalization

Lesson 3: Data is Strategic Power

Customer data = competitive moat:

Modern parallel:

- ▶ Why hotels want direct bookings vs Expedia
- ▶ Why restaurants resist UberEats taking customer data
- ▶ Why retailers fear becoming Amazon showrooms

Rule:

If you don't own the customer data, you don't own the customer

Lesson 4: Contract Clarity Matters

The exclusivity dispute:

TRU understood:

- ▶  TRU = only toy retailer on Amazon
- ▶  No other toy sellers allowed
- ▶  Complete category exclusivity
- ▶  Brand protection

Amazon understood:

- ▶  TRU exclusive for toys TRU sells
- ▶  Amazon can sell other toys
- ▶  Third parties can sell collectibles
- ▶  Ambiguous language

Lesson 4: Contract Clarity Matters

The exclusivity dispute:

Legal outcome:

- ▶  Court agreed with TRU
- ▶  \$51M awarded
- ▶  But damage already done
- ▶  6 years lost

Lesson:

- ▶ Define ALL terms explicitly
- ▶ Anticipate conflict scenarios
- ▶ Include monitoring provisions
- ▶ Build in exit clauses
- ▶ Don't trust verbal assurances

Lesson 5: First-Mover Advantage in Digital

Digital experience compounds:

TRU's 6-year gap:

- ▶ ❌ Missed mobile commerce rise
- ▶ ❌ No recommendation algorithms
- ▶ ❌ No personalization engine
- ▶ ❌ No customer reviews system
- ▶ ❌ No social media integration
- ▶ ❌ No data analytics team

Can't buy back time:

- ▶ 🕒 Technology capabilities take years
- ▶ 👤 Customer habits already formed
- ▶ 🗄️ Data accumulation can't be rushed
- ▶ 🎓 Organizational learning is slow
- ▶ 💰 Playing catch-up costs more

Lesson 5: First-Mover Advantage in Digital

Digital experience compounds:

The math:

- ▶ 2000-2006: Amazon builds, TRU stagnates (6 year advantage)
- ▶ 2006-2012: TRU tries to catch up (still 6 years behind)
- ▶ 2012-2018: TRU can't close gap, goes bankrupt

Key insight:

In digital business, losing 6 years = game over

Ethics Discussion: Was Amazon's Strategy Fair?

Argument: It's just business

- ▶ ✓ Capitalism rewards smart strategy
- ▶ ✓ TRU signed bad contract
- ▶ ✓ Amazon didn't break laws
- ▶ ✓ Consumers benefited (lower prices)
- ▶ ✓ Creative destruction is normal

Counterargument:

- ▶ Amazon DID violate contract (court agreed)
- ▶ TRU management was naive, not stupid
- ▶ Amazon's intent was predatory from start

Ethics Discussion: Was Amazon's Strategy Fair?

Argument: It's predatory

- ▶ ❌ Amazon used TRU then discarded
- ▶ ❌ Intentionally crippled partner
- ▶ ❌ Violated spirit of agreement
- ▶ ❌ 64,000 jobs lost
- ▶ ❌ Monopoly power should be regulated

Counterargument:

- ▶ TRU had 70 years to innovate
- ▶ TRU chose easy path of outsourcing
- ▶ Market punishes complacency

Ethics Discussion Questions

Consider these scenarios:

1.  If you were TRU's CEO in 2000, would you have signed the Amazon deal? What alternative approaches could you have taken?
2.  Should platforms like Amazon be legally prohibited from competing with their own merchants? Why or why not?
3.  What responsibility does Amazon have for the 64,000 jobs lost when TRU collapsed? Is this just market evolution?
4.  If you were advising a retailer today about selling on Amazon, what safeguards would you recommend?

Ethics Discussion Questions

1. **?** Draw parallelisms to OpenAI's operations model.

Modern Implications: The pattern continues

Amazon marketplace sellers:

- ▶ 🛒 2M+ active sellers
- ▶ ⚠️ Amazon copies successful products
- ▶ ⚠️ “Amazon Basics” competes directly
- ▶ 🗄️ Amazon sees all sales data
- ▶ ❓ Sellers trapped by dependence

Other platform risks:

- ▶ 🍏 Apple App Store (30% cut)
- ▶ 🌐 Google Search (controls visibility)
- ▶ 📘 Facebook (algorithm changes)
- ▶ 🍷 Delivery platforms (restaurant data)

Modern Implications: The pattern continues

The fundamental tension:

- ▶ Platforms provide access to customers (good)
- ▶ Platforms accumulate power over partners (bad)
- ▶ Platform competition with partners (devastating)

Question: Should there be antitrust regulation of platform businesses?

Key Takeaways

1.  **Digital presence is strategic:** Never outsource customer relationships to a competitor
2.  **Platform power is real:** Platform owners can change rules anytime
3.  **Data = power:** Without customer data, you're flying blind
4.  **Time is irreplaceable:** Falling behind in digital = permanent disadvantage
5.  **Contracts matter:** Define everything explicitly, anticipate conflicts
6.  **Strategic thinking required:** Partnerships can mask competitive threats

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